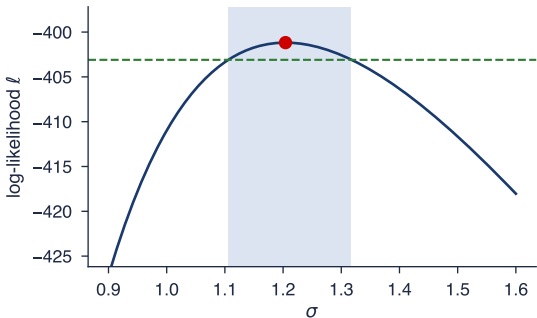


250 simulated returns, true $\sigma = 1.2$



— $\ell(\sigma)$, with $\mu = \bar{r}$

- - - $\ell(\hat{\sigma}) - 1.92$

● maximum: $\hat{\sigma} = 1.204$

■ σ not rejected by LR at 5%